KANAN DEVAN HILLS PLANTATIONS COMPANY PRIVATE LIMITED

Electricity Distribution Operations

TRUING UP PETITION
&
AUDITED ACCOUNTS 2024-25

25th November 2025

The Secretary,
Kerala State Electricity Regulatory Commission,
KPFC Bhavanam,
C.V. Raman Pillai Road,
Vellayambalam,
Thiruvananthapuram 695010.
Tel No.0471 2735544

Dear Sir,

Truing up Petition for the Financial Year 2024-25

We submit herewith for the consideration of the Hon. Commission one original and five copies of the petition for truing up of the income and expenditure for the financial year 2024-25 of the licensed electricity distribution operations of the Company.

A Demand draft favouring the Hon'ble Commission for Rs.22,300/- towards filing fee and soft copies of the Truing-up petition and its annexures are attached.

Yours faithfully,

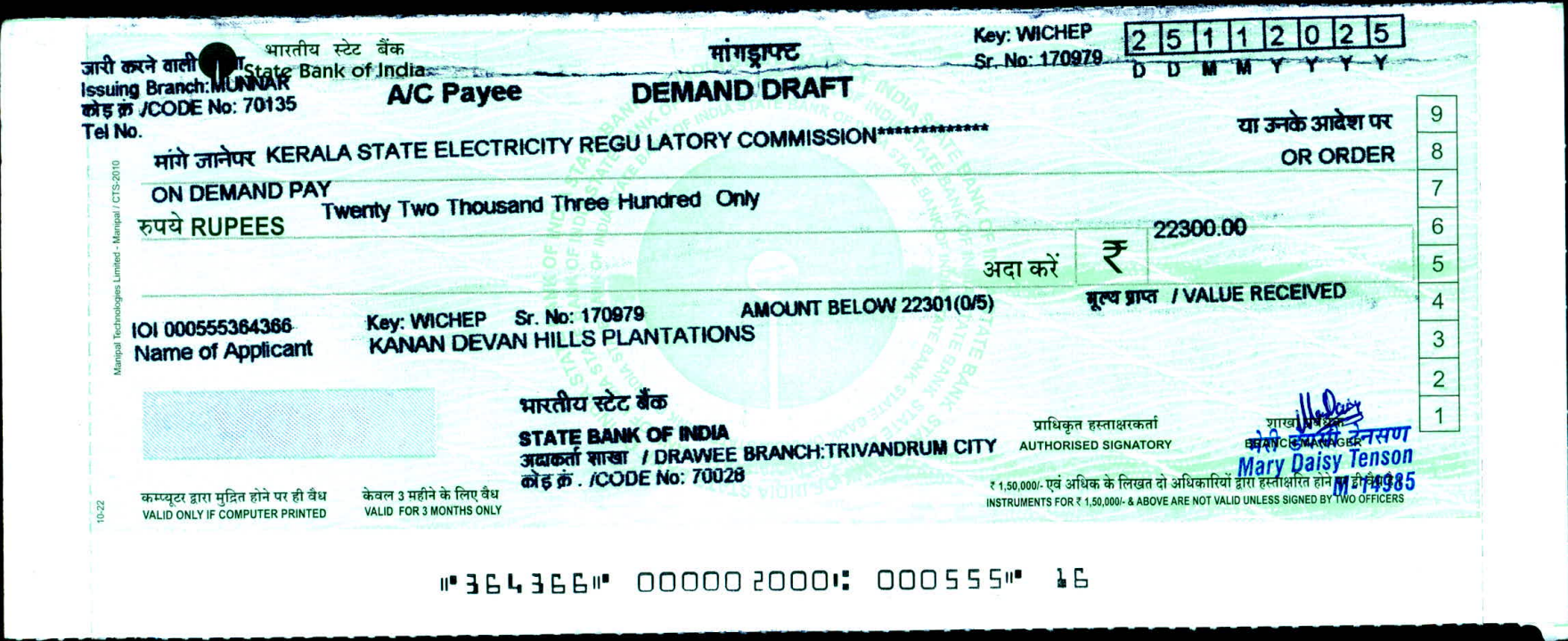
For **Kanan Devan Hills Plantations Company Private Limited**

Suman Ghosh
Chief Financial Officer

KANAN DEVAN HILLS PLANTATIONS COMPANY PVT. LTD.
KDHP House
Munnar P.O.
Kerala-685612

cc. The Chief Engineer- Commercial & Planning, (With a copy of the above petition)
Kerala State Electricity Board Limited
Vydhuti Bhavanam,
Pattom,
Thiruvananthapuram- 695004.

Encls: DD favouring Kerala State Electricity Regulatory Commission bearing reference No.364366 dated 25th November 2025.



भारतीय स्टेट बैंक
State Bank of India

जारी करने वाली शाखा
Issuing Branch: MUNNAR
कोड क्र /CODE No: 70135
Tel No.

मांगड्राफ्ट
A/C Payee
DEMAND DRAFT

Key: WICHEP
Sr. No: 170979

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या उनके आदेश पर
OR ORDER

मांगे जानेपर KERALA STATE ELECTRICITY REGU LATORY COMMISSION**********
ON DEMAND PAY

रुपये RUPEES Twenty Two Thousand Three Hundred Only

अदा करें ₹ 22300.00

मूल्य प्राप्त / VALUE RECEIVED

IOI 000555364366
Name of Applicant KANAN DEVAN HILLS PLANTATIONS

Key: WICHEP Sr. No: 170979 AMOUNT BELOW 22301(0/5)

भारतीय स्टेट बैंक
STATE BANK OF INDIA
अदाकर्ता शाखा / DRAWEE BRANCH:TRIVANDRUM CITY
कोड क्र . /CODE No: 70028

प्राधिकृत हस्ताक्षरकर्ता
AUTHORISED SIGNATORY

शाखा प्रबंधक
BRANCH MANAGER
मेरी डेजी टेनसण
Mary Daisy Tenson
M 14385

₹ 1,50,000/- एवं अधिक के लिखत दो अधिकारियों द्वारा हस्ताक्षरित होने चाहिए
INSTRUMENTS FOR ₹ 1,50,000/- & ABOVE ARE NOT VALID UNLESS SIGNED BY TWO OFFICERS

कम्प्यूटर द्वारा मुद्रित होने पर ही वैध
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केवल 3 महीने के लिए वैध
VALID FOR 3 MONTHS ONLY

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Manipal Technologies Limited - Manipal / CTS-2010

10-22

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AFFIDAVIT VERIFYING THE PETITION FOR TRUING UP OF COST AND REVENUE FOR THE PERIOD FROM 1ST APRIL 2024 TO 31ST MARCH 2025

I, Suman Ghosh, aged 47 years, son of late Mr. Ekkari Ghosh, residing at Munnar Bungalow, Munnar, Kerala – 685612, do hereby solemnly affirm and state as follows:

I am the Chief Financial Officer of Kanan Devan Hills Plantations Company Private Limited (KDHP), Munnar and the petitioner in the above matter and I am duly authorized by the Company to make this affidavit on its behalf. I solemnly affirm at Munnar on this the 24th November 2025, that –

(i) contents of the above petition are true to my information, knowledge, and belief. I believe that no part of it is false, and no material has been concealed therefrom.

(ii) that the statements made in the paragraphs of the accompanying application are true to my knowledge and are derived from the official records made available to me and are based on information and advice received which I believe are true and correct.

Deponent

Chief Financial Officer
Kanan Devan Hills Plantations Company Private Limited, Munnar, Kerala – 685612.

VERIFICATION

I, the above-named deponent, solemnly affirm at Munnar on this the 24th November 2025 that the contents of the affidavit are true to my information, knowledge and belief, that no part of it is false and that no material has been concealed therefrom.

Deponent

Chief Financial Officer
Kanan Devan Hills Plantations Company Private Limited, Munnar, Kerala – 685612.

Solemnly affirmed and signed before me. at my office at Adimaly. 24-11-25

NOTARIAL REGISTER PARTICULARS
Vol. No. VIII Page No. 14.
Sl. No. 246. Date 24-11.25

SPECIAL ADHESIVE

NOTARY
N.S. SUKUMARAN
Area: DEVIKULAM TALUK
Reg.: 10/97/IDUKKI
Expiry Date: 15-10-2027
GOVT. OF KERALA

N.S. SUKUMARAN
ADVOCATE & NOTARY
Reg. No. 10/97/IDKY
ADIMALY, IDUKKI DISTRICT
KERALA STATE, INDIA-685 561
e-mail: advsukumaran1@gmail.com
Mob: +91- 9447257801

BEFORE

THE KERALA STATE ELECTRICITY REGULATORY COMMISSION

(Hon'ble Commission)

At its Office at C.V. Raman Pillai Road, Vellayambalam, Thiruvananthapuram

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In the matter of:	Petition for truing up of Costs and Revenue of Kanan Devan Hills Plantations Company Private Limited for the financial year 1st April 2024 to 31st March 2025.
Petitioner:	Kanan Devan Hills Plantations Company Private Limited (KDHPCL), KDHP House, Munnar 685612.

1. The Petitioner is a corporate tea plantation based out of Munnar, Kerala. The Petitioner is also a licensed distributor of electricity in Munnar since 2007 and serves over 16,600 consumers spread over 240 square kilometer area. The Petitioner has been regularly submitting petitions for approval of Aggregate Revenue Requirement (ARR), Expected Revenue from Charges (ERC), Year-End Truing Up Petitions and other submissions as per the relevant Acts, Rules and Regulations. The current application is made in respect of Truing Up of Accounts for the financial year from 1st April 2024 to 31st March 2025.

2. The audit of the accounts of the electricity operations of the Petitioner for the financial year 1st April 2024 to 31st March 2025 was done by the Statutory auditors of the Company, M/s PKF Sridhar & Santhanam LLP, who expressed an unmodified opinion vide their Report dt. 16th October 2025. A copy of the Audited Financial Statements and the Auditors' Report thereon is attached as **Annexure A**.

   The Petitioner also submitted before the Hon'ble Commission, Petition on Mid-term Performance Review (MPR Petition) as required by para 10 of the Kerala State Electricity Regulatory Commission (Terms and Conditions for Determination of Tariff) Regulation, 2021 [Tariff Regulation, 2021], wherein the Petitioner has also detailed its reassessment of O&M expenses based on the CEA Regulations.

   As of the date of submission of this petition, the Petitioner is awaiting orders on its MPR Petition and therefore humbly submits before the Hon'ble Commission to kindly consider the Petitioner's submissions and prayer in its MPR Petition also, while disposing off this Truing-Up Petition.

3. A summary of the audited amounts for the current year with the approved amounts and with the Audited amounts for the previous year are as under. A detailed explanation of the reasons for variances are given in the following paragraphs.



Rs./Lakhs

Particulars	FY25 Audited	FY25 ARR-ERC Approved	FY24 Audited	Variance with		Remarks
				FY25 ARR-ERC Approved	FY24 Audited	
Revenue from sale of power	3,707.46	3,272.65	3,730.68	434.81	(23.22)	Para 5a
Other income	36.55	69.22	66.74	(32.67)	(30.19)	Para 5b
Total income	**3,744.01**	**3,341.87**	**3,797.42**	**402.14**	**(53.41)**	
Power purchase cost	3,434.48	3,125.79	3,376.30	308.69	58.18	Para 5c
O&M Expenses	332.00	243.72	284.96	88.28	47.04	Para 5d
Depreciation	14.50	17.28	15.28	(2.78)	(0.78)	Para 5e
Interest & Finance charges	41.72	52.72	22.85	(11.00)	18.87	Para 5f
Inspection charges	0.33	1.31	1.29	(0.98)	(0.96)	Para 5g
Duty-III	24.89	-	14.82	24.89	10.07	Para 5g
Provision for doubtful debts	7.14	-	2.42	7.14	4.72	Para 5g
Return on Equity	-	7.03	-	(7.03)	-	Para 5h
Aggregate Revenue Requirement	**3,855.06**	**3,447.85**	**3,717.92**	**407.21**	**137.14**	
Revenue Surplus/ (Gap) before taxation	**(111.05)**	**(105.98)**	**79.50**	**(5.07)**	**(190.55)**	

4. The comparison/particulars of the actual amounts with the approved ARR-ERC amounts for the current year and previous year audited amounts in the prescribed format is attached as **Annexure B**.

5. Clarifications on variances of Income and expenditure compared to the corresponding approved amounts are as under:

   a. **Revenue from Sale of Power**- Electricity sold during the year was 491.10 lakh units at an average price of Rs.7.55 per unit against approved 448.71 lakh units at Rs.7.29 per unit and 507.95 lakh units at Rs.7.35 per unit in the previous year.

   Compared to previous year, the revenue from sale of power during the year is lower by Rs.23.22 lakhs (lower by Rs.123.76 lakhs on account of lower sales by 16.85 lakh units offset by Rs.100.54 lakhs on account of increase in average revenue by Rs.0.20 per unit). The increase in average revenue per unit is mainly on account of the increase in Retail Supply Tariff (RST) subsequent to tariff revisions since the previous year. The decrease in units sold is mainly on account of decrease in consumption by HT consumers, mainly seasonal tea factories, by 23 lakh units as the production in the area during the year was significantly lower compared to previous period offset by increase in consumption by 6 lakh units by LT consumers on account of increased commercial and domestic consumption in the region.

   As against the approved ARR-ERC, the sale during the year is higher by Rs. 434.81 lakhs (Rs.125.64 lakhs higher on account of increase in average revenue by Rs.0.26 per unit and Rs.309.17 lakhs on account of higher sales by 42.39 lakh units). The increase in per unit revenue is attributable to the difference in tariff based on which the ARR was drawn with the actual tariff in effect. For ARR-ERC Petition, a moderate increase of 1% was estimated to arrive at projected revenue in 2024-25. However, on account of higher HT IA consumption, mainly at seasonal tea factories which varies y-o-y, and faster than anticipated recovery in commercial segments from Covid period, the actual units sold is higher than ARR-ERC Petition and Approved units by 42.39 lakh units.

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A statement of summary of income from sale of power bifurcated between sale to outsiders and own consumption is attached in **Annexure C.**

b. **Other income**- Other income has been arrived at as under:

Rs/Lakhs

Particulars	FY24 Audited	FY24 Trued Up	FY25 ARR-ERC Approved	FY 25 Audited	FY25 Truing Up Claim
Interest on deposit with KSEBL	17.36	17.36	14.84	18.74	18.74
Miscellaneous receipts	49.38	4.87	2.00	17.81	17.81
Revenue from other operations		9.12	8.43		
Interest on accumulated surplus	-	77.46	43.95	-	-
Total as per Approved/Audited Accounts	**66.74**	**108.81**	**69.22**	**36.55**	**36.55**
Regulatory adjustments:					
Add: Interest on accumulated surplus	-	-	-	-	87.52
Actuals amount after Regulatory Adjustments	**66.74**	**108.81**	**69.22**	**36.55**	**124.07**

Miscellaneous receipts of Rs.17.81 lakhs for the current year includes Rs.2.04 lakhs being collection charges for Duty IV collected for outside consumers, Rs.8.30 lakhs being interest received on delayed payments and Rs.7.44 lakhs being service charges recovered from consumers for various services.

On the interest income on accumulated regulatory surplus, the Petitioner reiterates its earlier views that regulatory surplus does not generate any real cash surplus of corresponding amount in the hands of the Licensee for placement of funds. Regulatory surplus in the Petitioner's case have arisen on account of regulatory norms disallowing part of expenditure which is otherwise genuinely required for the operations and actually incurred by us. The amounts disallowed do not create any real surplus of funds in our hands which is available for placement as Bank Deposits or towards set off against any loan. To state a few instances, Duty III is a statutory payment and is actually incurred by a Licensee but this amount is not allowed to be charged in the regulatory accounts. The other example, which is true in our case, is interest due on Security Deposits placed with KSEBL. While this amount is accrued in our books year after year, KSEBL has never paid this amount to us. Thus, these amounts have enhanced our revenue surplus every year without any corresponding increase in availability of funds for placement as interest bearing deposits. Further, the same was not included in either Regulation 82 or D 2.4 relating to Other Income of the Tariff Regulation, 2018. The matter is the subject of petitions filed before the Hon. APTEL against earlier orders of the Hon'ble Commission.

Further, Regulation 83 of the Tariff Regulation, 2021 now specifically includes interest income earned from Security deposits as well as normative interest income calculated based on accumulated regulatory surplus under the definition of Other income. This reiterates and confirms the Petitioners earlier contention.

Hence, it is the humble submission of the Petitioner that, notional interest on accumulated surplus be accrued only from 2022-23, being the period from which the Tariff Regulation specifically includes such income under the purview of Other Income.

The Hon'ble Commission has been approving notional interest on accumulated surplus on the SBI fixed term interest for a tenure of one year. Retail deposit Interest rate of State Bank of India for a tenure of one year is 6.80% on as on 1st April 2024 **(Annexure D)**. Accordingly, interest on accumulated surplus has been computed at the interest of 6.80% p.a. as shown below.

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Computation of interest on Accumulated surplus:

Particulars	Rs/Lakhs
Regulatory Surplus as at 31st March 2024 (Refer Note below: After rectification of apparent error in the Truing Up Order OP 50/2024)	1,287.09
Interest at 6.80% (As per retail deposit rate with SBI for tenure of 1 year during FY25)	87.52

Note: In the Order for truing up of accounts for the 2023-24 dt. 27-03-2025, an apparent error crept-in in the calculation of accumulated surplus, wherein the carry forward regulatory surplus from the truing up order for the previous year (as at 31.03.2023) was taken as Rs.1,034.08 lakhs, same as that of the previous year truing up order, instead of the Rs.1,150.99 lakhs as per the previous year order (OP 78/2023). The copies of the relevant Orders and the computation thereon has been attached as **Annexure E**. The current year opening regulatory surplus has adjusted to rectify this error in the computation of interest on accumulated surplus.

c. **Power Purchase Cost**- The particulars of power purchase cost are as under:

Particulars	FY24 Audited	FY24 Trued Up	FY25 ARR-ERC Approved	FY25 Audited
Gross sale units – lakh units	511.95	511.95	448.71	494.15
Less: Captive power fed into grid- lakh units	4.00	4.00	-	3.05
Net sale units – lakh units	507.95	507.95	448.71	491.10
Add: Distribution Loss- lakh units	58.99	58.99	54.71	57.73
Purchased Units- lakh units	566.94	566.94	503.42	548.83
Add: Feedback- lakh units	54.59	54.59	97.74	57.50
Gross Units- lakh units	621.53	621.53	601.16	606.33
Distribution Loss-%	9.49%	9.49%	9.10%	9.52%
Normal Demand Charge-Rs/Lakhs	389.12	389.12		479.23
Excess Demand Charge-Rs/Lakhs	6.57	6.57		30.61
Total Demand Charges-Rs/Lakhs	395.69	395.69	457.66	509.84
Energy Charge- Rs/Lakhs	2,980.61	2,980.61	2,668.13	2,924.64
Total Charges-Rs/Lakhs	3,376.30	3,376.30	3,125.79	3,434.48
Less: Adjustment for excess line loss	-	5.78	-	-
Net Charges-Rs/Lakhs	**3,376.30**	**3,370.52**	**3,125.79**	**3,434.48**
Rate per unit-Rs/kWh purchased	**5.96**	**5.95**	**6.21**	**6.26**

During the year, the power consumption in the licensed distribution area is lower compared to previous year mainly on account of decrease in consumption in HT consumers. The increase in the per unit rate of power purchase is attributable to tariff revisions during the period.

The distribution loss has marginally increased from 9.49% in the previous year to 9.52% in the current year, which is slightly higher than the ARR- ERC approved level of 9.10%. Regulatory adjustment for excess distribution loss is as follows:

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Particulars			Rs/Lakhs
Power Purchase Cost as above			3,434.48
Total units sold- in lakhs	A	491.10	
Total units purchased – in lakhs	B	548.83	
Feedback units- in lakhs	C	57.50	
Gross units- in lakhs	D= B+C	606.33	
Line loss units- in lakhs	E= B-A	57.73	
Line loss percent	F= E/D*100	9.52%	
Approved line loss percent	G	9.10%	
Approved line loss units- in lakhs	H=(B+C)*G	55.18	
Excess line loss- in lakhs units	I=E-H	2.55	
Average cost per unit – Rs	J	6.26	
Disallowed in power purchase cost	K=I*J	15.96	
Adjusted power purchase cost (Truing Up Claim)			**3,418.52**

d. **Operating and Maintenance costs**- For the year a consolidated amount of Rs.243.72 lakhs was approved as per Regulation 80(1) of the Tariff Regulations, 2021. The actual amount being sought in the application is Rs.332.00 lakhs as under:

Rs/Lakhs

Particulars	FY24 Audited	FY24 Trued Up	FY25 Regulation Approved	FY25 Audited
Repairs and Maintenance	49.74	44.53	45.83	51.17
Employee cost	216.32	177.52	182.75	257.53
Administration and general expenses	18.90	17.12	15.14	23.30
Total	**284.96**	**239.17**	**243.72**	**332.00**

Approved amounts of Operating and Maintenance costs as per the Tariff Regulation, 2021 were arrived at by taking an escalation of 4.454% for the years of the control period considering 2020-21 as the base year. The Regulation also provides for adopting escalation rates based on actual inflation indices be adopted for approving the O&M Expenses. The same approach was followed during the truing up of accounts for the year ended 31st March 2024.

The escalation whilst covers the increase in expense on account of inflation, it totally disregards the level of activities involved in repairs, maintenance, administration and general expenses which are inherently subject to year-on-year fluctuations. Further, the approved amounts for FY21 which is used as the base for the control period have been arrived at after disallowing many expenses which were genuinely incurred and otherwise required for the operation of the electricity distribution business of the licensee.

Along with the MPR Petition dated 19th May, 2025, the petitioner also submitted before the Hon'ble Commission a comparative analysis of O&M expenses, benchmarking with the guidelines issued by Central Electricity Authority, with other distribution licensees and as well as a detailed explanation as to why the current method of setting O&M norms is prejudicial to the interest of the Petitioner. The Petitioner humbly prays before the Hon'ble Commission to kindly consider our previous submissions and adopt a more prudent and equitable methodology for approving O&M expenses of the Petitioner.

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Repair and Maintenance: The breakup of the expenditure is as follows:

Rs/Lakhs

Particulars	FY24 Audited	FY25 Audited	FY25 Truing Up Claim
Plant & Machinery	0.73	0.93	0.93
Includes expenditure incurred by the Petitioner on the repair, maintenance and upkeep of fire extinguishers, electrical machinery and lighting installations. There is a marginal increase in expenditure by Rs.0.20 lakhs during the year. This is on account of increase in maintenance to electrical equipment.			
Buildings	0.29	0.35	0.35
Includes expenditure incurred by the Petitioner towards repair and maintenance of civil structures like buildings including switching station, electrical department office and ancillary buildings. No material work was required to be undertaken during the current year or the previous year.			
Lines & Cable Networks	36.00	38.64	38.64
Includes expenditure incurred by the Petitioner towards upkeep of network including transformer maintenance, service charges, transformer oil and other upkeep works like undergrowth cutting charges etc. There is an increase in expenditure by Rs.2.64 lakhs during the year. This is mainly on account of increase in transformer rewinding costs.			
Vehicles	4.16	4.08	4.08
Relates to expenditure incurred for the upkeep of the vehicles used in the electrical department. The variance with the previous year expenditure is not material.			
LT Lines, upkeeps, etc.	8.56	7.17	7.17
Includes expenditure incurred by the Petitioner towards the upkeep of the LT line including cost of replacement of LT posts, LT lines, upkeep works like overhead line standardization, etc. The variance with the previous year expenditure is mainly on account of reduction in line maintenance work due to lower breakdowns.			
Total	**49.74**	**51.17**	**51.17**

Employee costs: The employee costs relating to various categories of employees were as under:

Particulars	Actual 2023-24		Actual 2024-25	
	No	Rs/Lakhs	No	Rs/Lakhs
Technical Officers	3	21.54	3	22.01
Switching Station Operations	3	20.58	3	18.67
Technical Staff	40	102.84	40	147.07
Other Workers	11	29.07	11	30.18
Non-Technical Staff	3	13.73	3	7.92
Share of Management Staff Expenses		27.27		30.38
Other Allowances, Medical & Welfare expense		1.29		1.30
Total	**60**	**216.32**	**60**	**257**

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Employee costs have increased by Rs.41.21 lakhs compared to the previous year and by Rs.74.78 lakhs compared to the amount approved by Hon'ble Commission Rs.182.75 lakhs. A reconciliation of the employee expenses with the previous year is as under:

Particulars	Amount in Rs. Lakhs
Employee expenses as per audited accounts for FY24	**216.32**
Impact of arrears paid during previous year	(12.44)
Impact of change in allocation of expenses in audited accounts	51.07
Decrease in extra overtime	(0.43)
Increase in Other components	(0.11)
Increase in management staff proportionate expenses	3.12
Employee expenses as per audited accounts for FY25	**257.53**

During the previous years, out of the 60 employees, for 25 of the 30 employees who are located at various estates spread over the Licensed Area, only 50% of their costs were charged to the distribution operations. This is an ad-hoc allocation on the basis that these employees also work for the non-electricity business of the Petitioner. As the same allocation cannot be observed objectively, the audited accounts are drawn without any allocation.

However, the Petitioner represents that it deploys more workers equivalent to 50% allocated to other business of the Petitioner to support administrative work like meter reading etc. but never claimed these expenses in the truing up. The Petitioner also requests the Hon'ble Commission to reconsider the determination of employee strength. Nonetheless, the O&M costs including the full compliments of employee costs, without ad-hoc allocation continue to be within the normative levels allowed under the CEA Regulations and lower than comparative discoms in the State.

Employee category-wise particulars of employee costs is attached in **Annexure F**. As can be seen from **Annexure F**, there are two types of overtime included in the Employee Costs: (1) Fixed Overtime- Fixed Overtime are paid to Staff and Non-Staff category of workers as per Industry-wise Staff settlement purely on their attending to duty and without having to work beyond the office hours at 1.75/1.50 hours per man-day. This amount of Fixed Overtime for the year ended 31st March 2025 was Rs.41.89 Lakhs. (2) Variable Overtime- Variable Overtime is paid for working over the normal working hours and on weekends, holidays. This is mainly required to restore line faults happening after working hours. There are instances where the repair work could not be completed during the normal working hours and therefore had to spill-over to overtime hours. The variable overtime for the year ended 31st March 2025 was Rs.20.24 lakhs which is lower than the previous year expenditure by Rs.0.43 lakhs. The Petitioner would like to appraise the Hon'ble Commission that such expenses are directly related to the frequency and severity of faults mainly during the torrential monsoon season. However, we continue to monitor and maintain close control on overtime payouts as suggested by the Hon'ble Commission.

Management staff salaries have been allocated to the distribution operations consistently in line with previous years and are as under:

Particulars	Percentage of CTC Allocated to distribution operations
Chief Financial Officer	10
Manager- Finance	10
Assistant Manager - MIS & Accounts	25
Deputy General Manager- Workshop	25
Consultant- Workshop	75

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All the employees other than members of management staff are members of employees' unions and their wage/salary structures are fixed through industry wide triennial wage settlements. As cited by the Petitioner in many previous instances, the wage rate in force used for setting norms as well as the percentage of increase envisaged during the control period pans out to be totally different during the control period.

A summary of the employee costs and its treatment by the Hon'ble Commission over the years is given below:

Rs. in Lakh

Particulars	2020-21	2021-22	2022-23	2023-24
Actual cost	166.07	172.10	179.80	216.32
Normative	138.93	145.66	167.50	174.96
Trued up	157.48	169.31	171.67	177.52
Additional impact of wage revision	14.17 (allowed)	23.65 (allowed)	-	27.21 (not allowed)
Remarks	Norms + wage revision allowed	Norms + wage revision allowed	Actual inflation allowed on base year 20-21	Actual inflation allowed on PY

For instance, in addition to the normal DA increase every quarter on quarter, the worker wages and staff salaries were revised and made effective from 1st January 2023 wherein the worker basic wages were revised from Rs.308.21 to Rs.349.21 per day (13.30% approx.) and the average increase across all categories of staff was approx. 17.5% p.a. During the financial year 2023-24, the Licensee paid the wages at the increased rate along with arrears for the 3 months of the previous financial year thereby incurring an additional Rs.27.21 lakhs in employee costs. As the norms are not adjusted for this abrupt increase in wages, the Licensee will have a gap with the norms in the current year also.

Historically, the Hon'ble Commission allowed the Petitioner's claim for additional employee cost on account of wage revision at the time of truing up of accounts. In the preceding control period, in financial years 2020-21 and 2021-22, the Hon'ble Commission allowed the Petitioner's additional employee costs of Rs.14.26 lakhs and Rs.23.65 lakhs respectively over the normative levels due to wage revision.

During the current control period also, the Hon'ble Commission had noted in its ARR Order OP 28/2022 dt. 26.02.2024, in para 26, that any additional expenses relating to pay revision can be considered at the time of Truing up of Accounts after prudence check by the Hon'ble Commission.

However, the Petitioner's claim of Rs.27.21 lakhs on account of wage revision for the financial year 2023-24 was not allowed by the Hon'ble Commission. The additional impact of wage revision during the current financial year has been determined and amounts to Rs.20.91 lakhs.

The Petitioner humbly prays before the Hon'ble to kindly consider and allow its claim for **uncontrollable expenditure of cumulative increase in employee costs amounting to Rs.48.12 (Rs.27.21 for 2023-24 and Rs.20.91 for 2024-25) on account of wage revision after its prudence check as done historically.**

Summary of employee expenses claimed for the year	
Employee expenses as per audited accounts for FY 25 including impact of wage revision Rs.20.91 lakhs	**257.53**
Allocation of other business	**(51.07)**
Expense on account of wage revision disallowed during FY24	27.21
Total employee expense claimed	**233.67**

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The Petitioner also humbly prays before the Hon'ble Commission to bring parity in the process of setting up norms and truing up of employee costs also considering its additional submissions made along with its MPR Petition.

Administration and general expenses: The breakup of the expenditure are as follows:

Rs/Lakhs

Particulars	**FY24 Audited**	**FY25 Audited**	**FY25 Truing Up Claim**
Rent, rates and taxes, telephone, postage	0.32	0.09	0.09
Expenditure includes fees paid to the Hon'ble Commission for various petitions/filings of the Petitioner and various taxes paid.			
Insurance	0.44	0.49	0.49
Proportionate expenditure of insurance costs towards securing the assets in the electricity business.			
Legal charges	2.02	4.44	4.44
Mainly includes expenditure incurred by the Petitioner towards legal/professional fees for various litigations related to electricity business at various forums.			
Audit fees	3.90	4.20	4.20
Current year expenses include Rs.2.00 Lakhs towards Statutory audit fee and Rs.2.15 lakhs being audit fee for energy audit. Previous year expenditure also includes Rs.2.14 lakhs towards electricity audit and Rs.1.50 lakhs towards statutory audit fee.			
Travelling, conveyance expenses	1.19	2.36	2.36
Includes expenses incurred for travel and accommodation related to the electricity business, vehicle hire charges, repairs etc.			
Security arrangements	2.79	2.46	2.46
Includes expenditure incurred towards security personnel at various establishments related to the electricity business. Variance is not material.			
Printing and stationery	0.92	1.34	1.34
Includes expenditure incurred towards office and other stationery items. Increase is on account of increase in printing cost.			
Electricity charges	0.32	0.35	0.35
Includes electricity charges for establishments in electricity distribution business.			
Licensee fee	1.06	1.12	1.12
Variance is not material			
Miscellaneous expenses	5.94	6.45	6.45
Mainly includes bata paid to staff/workers per the terms of their employment as reimbursement of cost of conveyance/food incurred by them as part of execution of their duties.			
Total	**18.90**	**23.30**	**23.30**



e. **Depreciation**- Depreciation has been computed as per requirements of Regulation 27 at the rates specified in Annexure 1 to the Tariff Regulation, 2021. For assets over 13 years, as suggested by the Commission, depreciation has been allowed at lower rates.

Rs. in lakh

Asset Group	GFA as at 01.04.24	Asset Addition	Rate of depreciation	Depreciation
Asset over 13 years				
Transformers	205.92	-	0.97%	2.00
Distribution lines	40.16	-	0.97%	0.39
Meters	25.64	-	0.97%	0.25
IT Equipment	0.89		0.97%	0.01
Others	13.03	-	0.35%	0.05
Sub-total	**285.64**	**-**		**2.70**
Asset below 13 years				
Transformers	89.58	-	5.28%	4.73
Distribution lines	-	-	5.28%	-
Meters	67.91	-	9.00%	6.11
IT Equipment	3.60	1.05	15.00%	0.70
Others	4.76	0.47	6.33%	0.33
Sub-total	**165.85**	**1.52**		**11.87**
Grand Total	**451.49**	**1.52**		**14.57**
As per audited accounts				14.50
Excess depreciation				**0.07**

During the previous year, for the first time, the Hon'ble Commission ordered the asset addition of Rs.11.80 lakhs to be met from the regulatory surplus and subject to final orders from the Hon'ble Supreme Court on the matters on accumulated surplus. Whilst the Petitioner is agreeable to the stand in-principle, it humbly submits before the Hon'ble Commission to kindly consider the additions as normal asset additions via borrowed funds and allow the Petitioner depreciation, return on NFA and other financial costs subject to final outcome from the Hon'ble Supreme Court of India. Accordingly, the Petitioner has not made any adjustments to its claim on depreciation.

The Depreciation has been computed at the rates specified in the Regulation. The variance as compared to the books is on account of rounding off adjustments. Considering this and the materiality of the amount involved, the Hon'ble Commission may allow the charge of Rs.14.50 lakhs as given in the audited accounts. Details of fixed assets are given in **Annexure G**.

f. **Interest and Finance charges**- Details of actual/claimed interest and finance charges and as approved by the Hon. Commission in the ARR-ERC Order are as under:

Interest on Normative Loan

Rs/Lakhs

Particulars	FY25 ARR-ERC Approved	FY25 Truing up Claim
Net Normative Loan- 1st April 2024	185.49	*73.01
Add: Net increase of assets during the year ended 31st March 2025	61.50	1.52
Less: Depreciation during the year ended 31st March 2025	(17.86)	(14.50)
Net Normative Loan- 31st March 2025	229.13	60.03
Average Normative Loan during the year	207.31	66.52
Average Base Rate of SBI during the year	7.30%	**9.15%
Interest on Normative Loan for the year	18.02	6.09

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**** SBI EBLR as at 1st April 2024: 9.15% *Adjusted for capital addition as explained in para 5e above (Rs.61.21 lakhs as per order + Rs.11.80 lakhs capitalization from surplus)**

Interest on normative loan is calculated as per Regulation 29 of Tariff Regulation, 2021 on the average normative loan during the year at the base rate (EBLR) declared by State Bank of India as applicable on the first day of April of the financial year for a tenure of one year. (https://sbi.bank.in/web/interest-rates/eblr-historical-data)

As per Regulation 72 of the Kerala Electricity Supply Code, 2014 ("Supply Code") licensee shall pay to the consumer interest on security deposit at the bank rate prevailing on the first April of that year and it shall be paid annually with effect from date of deposit. The bank rate as on 1st April 2024 was 6.75% p.a. **(Annexure H)**. Accordingly, interest is provided on Security Deposit collected in cash from Consumers at the rate of 6.75% p.a., amounting to Rs.18.93 lakhs (Deposit collected in cash Rs.297.01 lakhs) against approved interest of Rs.11.48 lakhs (at 4.25% p.a. and deposit of Rs.270.02 lakhs) and previous year trued up interest of Rs.15.07 lakhs (at 6.75% p.a. and deposit of Rs.223.27 lakhs). Interest is only claimed where the security deposit available in cash.

The Petitioner would like to draw attention to the fact that whilst the requirement of the Supply Code is for the licensee to pay consumer interest on security deposit furnished by him on pro-rata, basis the date of deposit, the Hon'ble Commission has only allowed the interest on security deposit from consumers on the opening balance of such deposit. The Petitioner has always complied with the requirements of the Supply Code and paid interest on pro-rata basis but only been allowed to claim interest on opening balance of security deposit. Accordingly, the interest for new consumers as well as for security deposit enhancements during the year clearly stands disallowed over the years. The Petitioner requests the Hon'ble Commission to reconsider and clarify its stance on the matter for clearing the ambiguity with the Supply Code.

Interest and finance charges also include bank charges amounting to Rs.7.53 lakhs out of which Rs.3.30 lakhs relates to the Letter of Credit issued in favour of KSEBL to secure monthly power purchase bills and the balance Rs.4.23 lakhs towards Bank Guarantee provided to KSEBL as per the directions of the Hon. Supreme Court of India in civil appeal 2144/2011.

Interest on Working Capital is computed as per Regulation 32 of Tariff Regulation,2021 at a rate equal to 2% higher than the base rate (EBLR) as on the first day of April of the financial year.

Accordingly, the computation of the interest on working capital is as under:

Rs/Lakhs

Particulars	**FY25 ARR-ERC Approved**	**FY25 Truing up Claim**
O & M Expenses- One month	20.31	25.68
Maintenance spares	-	-
Receivables – 2 months	545.44	617.91
Less: Security Deposit from Customers collected in cash	272.72	297.01
Total Working Capital	293.03	346.58
Interest rate %	8.65%	11.15%*
Interest on Working Capital	**25.35**	**38.64**

*** SBI's 1-year EBLR 9.15% on 1st April 2023 plus 2% thereof total 11.15%**

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Therefore, total interest and Finance costs for the year would be:

Rs/Lakhs

Particulars	FY25 ARR-ERC Approved	FY25 Truing up Claim
Interest on Security Deposits from Customers	11.48	18.93
Bank Charges- On the Bank Guarantee to KSEB as per the direction of the Hon. Supreme Court of India	-	4.23
Other Bank Charges including on the Letter of Credit to secure cost of mostly power purchase from KSEBL	2.63	3.30
Total as per audited accounts	**14.11**	**26.46**
Interest on Normative Loan	13.26	6.09
Interest on Working capital	25.35	38.64
Total Regulatory adjustments	**38.61**	**44.73**
Total Interest and Finance charges	**52.72**	**71.19**

g. **Other debits-** Other debits include Duty-III charges, periodic inspection charges and provision for doubtful debts. An amount of Rs. 15.01 lakhs were sought in the ARR-ERC petition being Rs. 13.70 lakhs for Duty III charges and Rs. 1.31 lakh being periodical inspection charge but Duty III was not allowed by the Hon'ble Commission on the ground that same cannot be passed on to the consumer. However, the amounts so disallowed do not translate into any actual surplus of funds available with the Licensee that could be invested in interest-bearing deposits or utilised to offset existing borrowings. Consequently, no real interest-earning benefit accrues to the Licensee. The disallowance therefore results in an undue financial burden by inflating the regulatory surplus and subsequently subjecting such notional surplus to interest computation, effectively causing a double financial impact. Actual expense incurred during the year consists of Duty-III charges Rs. 24.89 lakhs levied at Rs.0.06 per kwh sold outside which has been revised to Rs.0.10 per kwh wef July 2024, Rs. 0.33 lakhs being periodical inspection charges and Provision for doubtful debts Rs. 7.14 lakhs.

h. **Return on net fixed assets-** The details of return on net fixed assets claimed and as approved in ARR-ERC are as under:

Rs.in Lakhs

Particulars	FY25 ARR-ERC Approved	FY25 Truing up Claim
Gross fixed assets as at 1st April 2024	559.63	453.06
Less: Accumulated depreciation	239.59	269.88
Less: Consumer contribution	14.96	7.89
Less: GFA for which interest is allowed	177.32	73.01
Balance value of Net fixed assets at the beginning of the year	127.76	102.28
Rate of Return	5.50%	5.50%
Eligible Return	**7.03**	**5.63**



6. Taking into account the regulatory adjustments to the audited accounts as discussed above the adjusted revenue gap would be as under:

Rs/Lakhs

Particulars	FY25 ARR-ERC Approved	FY25 Audited Accounts	FY25 Truing up Claim
Revenue from sale of power (Para 5a above)	3,272.65	3,707.46	3,707.46
Other income (Para 5b above)	69.22	36.55	124.07
Revenue from charges	**3,341.87**	**3,744.01**	**3,831.53**
Power purchase cost (Para 5c above)	3,125.79	3,434.48	3,418.52
O&M Expenses (Para 5d above)	243.72	332.00	308.14
Depreciation	17.28	14.50	14.50
Interest & Finance charges (Para 5e above)	52.72	41.72	71.19
Inspection charges	1.31	0.33	0.33
Duty-III	-	24.89	24.89
Provision for doubtful debts	-	7.14	7.14
Return on Equity	7.03	-	5.63
Aggregate Revenue Requirement	**3,447.85**	**3,855.06**	**3,850.34**
Revenue Surplus/ (Gap) before taxation	**(105.98)**	**(111.05)**	**(18.81)**

7. The Income Tax Department has always allowed the Electricity Operations of the Petitioner as an integrated part of the tea business based on the Orders of the Appellate Tribunal and hence all incomes/losses under the operations are considered as tea income or loss under Rule 8 of the Income Tax Act, 1962. Considering the tea operations are a loss in AY 25-26, there is no income tax liability to be apportioned for the electricity operations.

8. The Hon'ble Commission had directed the Petitioner to take up the matter of disbursement of interest on security deposit with KSEBL and accordingly, the Petitioner has initiated discussions with KSEBL. The Petitioner will appraise the Hon'ble Commission on the progress of the same in due course. The accrued interest as at 31st March 2025 stands at Rs.206.90 lakhs.

9. The amount capitalized during the year was Rs.1.52 lakhs consisting of the following:

Particulars	Rs/lakhs
IT Equipment	1.05
Others	0.47
Total	**1.52**

10. The petition is filed without prejudice to the Civil Appeals 2144/2011 and 5122/2012 pending before the Hon. Supreme Court of India and before the Appellate Tribunal for Electricity in respect of Truing-up Orders of the Hon. Commission for the financial years ended 31st March 2016, 31st March 2017, 31st March 2018, 31st March 2019, 31st March 2020, 31st March 2021, 31st March 2022, 31st March 2023 and 31st March 2024.

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11. Prayer:

The Licensee respectfully prays before the Hon'ble Commission to pass orders on the following:

a. Approving the Petitioner's claim on O&M expenses along with increase in employee costs on account of wage revision amounting to Rs.48.12 lakhs.

b. Approving the Truing-up petition of Income and Expenses as detailed in the Audited Annual Accounts for the year ended 31st March 2025 as submitted to the Hon'ble Commission along with the regulatory adjustments and discussed in paragraph 5 above.

c. Approving the capital expenditure of Rs.11.80 lakhs discussed in paragraph 9 above.

d. Rectifying the apparent error in the calculation of accumulated surplus as explained in paragraph 5 b above .

Suman Ghosh
Chief Financial Officer

Dated: November 25, 2025.

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